



Market Debunk

#MARKETDEBUNK

The Hidden Risk Behind

Derivative Margins



Why Lower

Margins Trap

Retail Capital In Volatile F&O Markets

✗ RETAIL ILLUSION

Retail belief: Lower margin requirements on longer-term derivatives mean cheaper leverage and safer directional trades.

✓ INSTITUTIONAL TRUTH

Institutional truth: Lower margin simply increases leverage capacity, accelerating capital destruction when volatility strikes.



The Brutal

Math Of

F&O Losses In Modern Markets

VERIFIED MARKET IMPACT

93%

active retail traders losing capital in derivatives

Recent regulatory disclosures highlight persistent compounding losses. Lowering margin barriers without structural risk education only deepens the drawdown loop for unhedged participants.



How Smart

Money Offloads

Risk To Retail

1

2

3



The Hidden *Drag Of* Leverage Decay

When margins are reduced, retail traders scale up position sizes beyond optimal risk parameters. This artificial expansion increases sensitivity to minor price retracements, leading to premature stop-outs and continuous capital erosion.



The Non-Negotiable *Execution Rule*

Never chase a headline move without verifying volume distribution and delivery percentages. Institutional accumulation leaves distinct footprints in order books that raw price action alone fails to reveal.



Pre-Trade Risk

Checklist



Trading purely based on breaking news headlines



Maximizing leverage solely because margin is lower



Verifying delivery volume and institutional order flow



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COMMUNITY DEBATE

Have you experienced this trap? Drop your experience in the comments below 🙋

